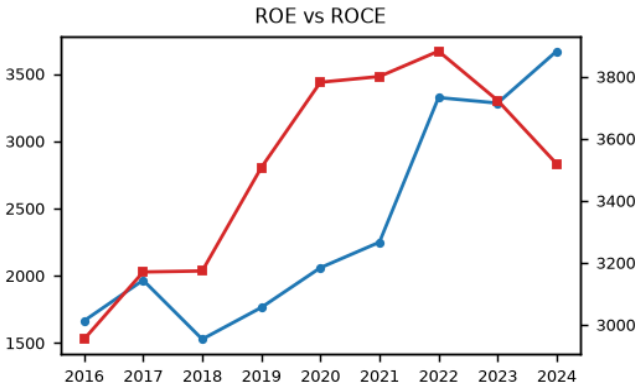
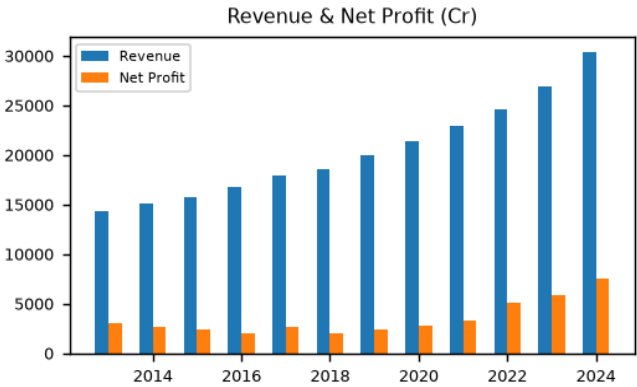
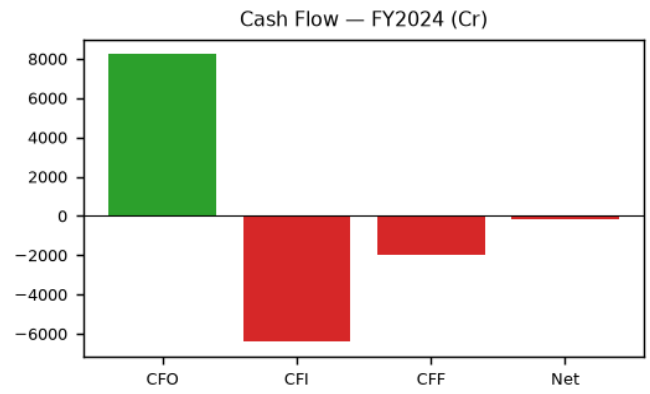
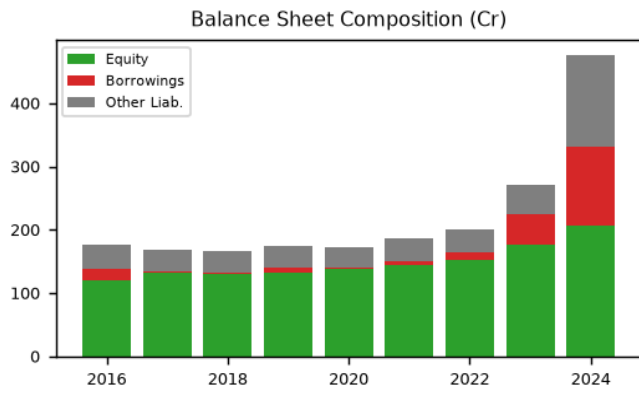


Hindustan Aeronautics Ltd (HAL)

Industrials · Fiscal Year 2024

ROE 3669.1%	ROCE 3519.0%	Net Profit Margin 25.0%
D/E 0.6	Revenue CAGR 5yr 8.7%	FCF (Cr) 1,814





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Shareholder Returns